Investment committee memo: Serendib University Endowment Fund

Team Gmora · USD 10M · decision date 2026-10-26 · market data to 2026-10-23

Recommendation

We recommend that the committee **accepts the mandate as proposed**: invest 35% in equities and 65% in bonds. The portfolio is expected to earn 6.04% a year after costs, against the 5.94% needed for US inflation + 3.5%, and it stays inside every risk limit.

Fund	Weight	Amount
AGG	65.0%	$6.50M
SPY	15.6%	$1.56M
XLE	10.0%	$1.00M
EFA	9.4%	$942,600

Why this portfolio

- **It is the safest mix that does the job.** With 30% in equities the fund would fall $13,100 a year short of its objective; with 40% a repeat of 2008 would cost $2.54M, more than the $2.50M budget.
- **Income pays the scholarships.** Dividends and interest of about $326,800 a year cover the 3% spending rate.

What can go wrong

- **A repeat of the worst crisis on record (GFC 2008):** a loss of about $2.39M, or 23.9%.
- **Our stagflation scenario, where stocks and bonds fall together:** about $2.10M, or 21.0%.
- **A very bad day (the worst 1 in 100):** about $208,300 on average over a full market cycle; about $100,900 in today's calmer markets.

How sure we are

- **The risk model passed a fair test.** On 955 days it had never seen (2023–2026), it was beaten on 9 days against about 10 expected.
- **The return objective is a close call.** The margin is $10,700 a year. ACCEPT is lost if the real yield falls by 0.15 points, and ACCEPT needs an equity premium of at least 4.15% (we assume 4.5%). Across 18 combinations of our return assumptions it holds in 7. Over ten years the chance of meeting the objective is about even (49%).

What we ask the committee to do

- **Approve the portfolio above**, and record that the return objective is a target, not a promise.
- **Obtain tax advice before investing.** If US tax applies to the bond fund's interest, the objective is no longer met.
- Rebalance to the target weights every quarter.
- If the daily risk forecast stays above the limit for 5 days, the committee meets; nothing is sold automatically.
- Review the spending rate, the limits and the return assumptions every year.